CfC Stanbic Holdings Ltd

Investor presentation for June 2014

Contents

Introduction

Greg Brackenridge

Chief Executive, CfC Stanbic Bank

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Operating environment

Macro-economic environment	• Inflation – June 2014 7.39% vs. June 2013 4.91% • 91-day T-bill – June 2014 11.44% vs. June 2013 5.11% • USD exchange rate – June 2014 87.61 vs. June 2013 85.49
Regulatory environment	• Introduction of the Annual Percentage Rate (APR) and Kenya Banks’ Reference Rate (KBRR) • Migration to Europay, Mastercard and Visa (EMV) compliant cards
Market opportunities	• The Eurobond • Infrastructural projects such as the Standard Gauge Railway, upgrade of Jomo Kenyatta International Airport • Oil and gas projects in Kenya
Market threats	• Terrorism • Poaching • Political unrest in South Sudan

Year in review

Greg Brackenridge

Chief Executive, CfC Stanbic Bank

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Key metrics

Performance summary	Jun-2014	Jun-2013	Change %
Total revenue (Kes m)	9,277	8,087	15
Profit after tax (Kes m)	3,357	2,202	52
Cost to income ratio	50.4%	55.1%	
Tier 1 capital ratio (Bank only)	17.8%	18.2%	
Total capital ratio (Bank only)	18.7%	21.6%	

Shareholder value	Jun-2014	Jun-2013
Return on average equity (ROE)	20%	16%
ROE net of goodwill	29%	24%
Earnings per share	17.12	11.23
Net asset value per share	88.75	75.58
Dividends per share	0.95	0.63

The Group (Kenya Bank, South Sudan branch and SBG Securities) posted improved results with first half profit after tax increasing by 52% year on year mainly due to:

- Improved revenues from trade finance in South Sudan
- Focus on cost discipline
- Customer loans and advances have increased by 24%
- Lower credit impairment charge notwithstanding the growth in the total book and non-performing loans. The increase in non-performing loans is covered by the discounted value of securities held
- Improved performance from SBG Securities

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Detailed Financial Analysis

Abraham Ongenge

Chief Financial Officer

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Summarised group income statement

	Jun-14 Kes millions	Jun-13 Kes millions	Change %
Net interest income	4,302	3,620	19
Non-interest income	4,975	4,467	11
Total income	**9,277**	**8,087**	**15**
Credit impairment charges	(274)	(397)	31
Total income after credit impairment charges	**9,003**	**7,690**	**17**
Operating expenses	(4,678)	(4,453)	(5)
Profit before tax	**4,325**	**3,236**	**34**
Tax	(969)	(1,034)	6
Profit after tax	**3,357**	**2,202**	**52**

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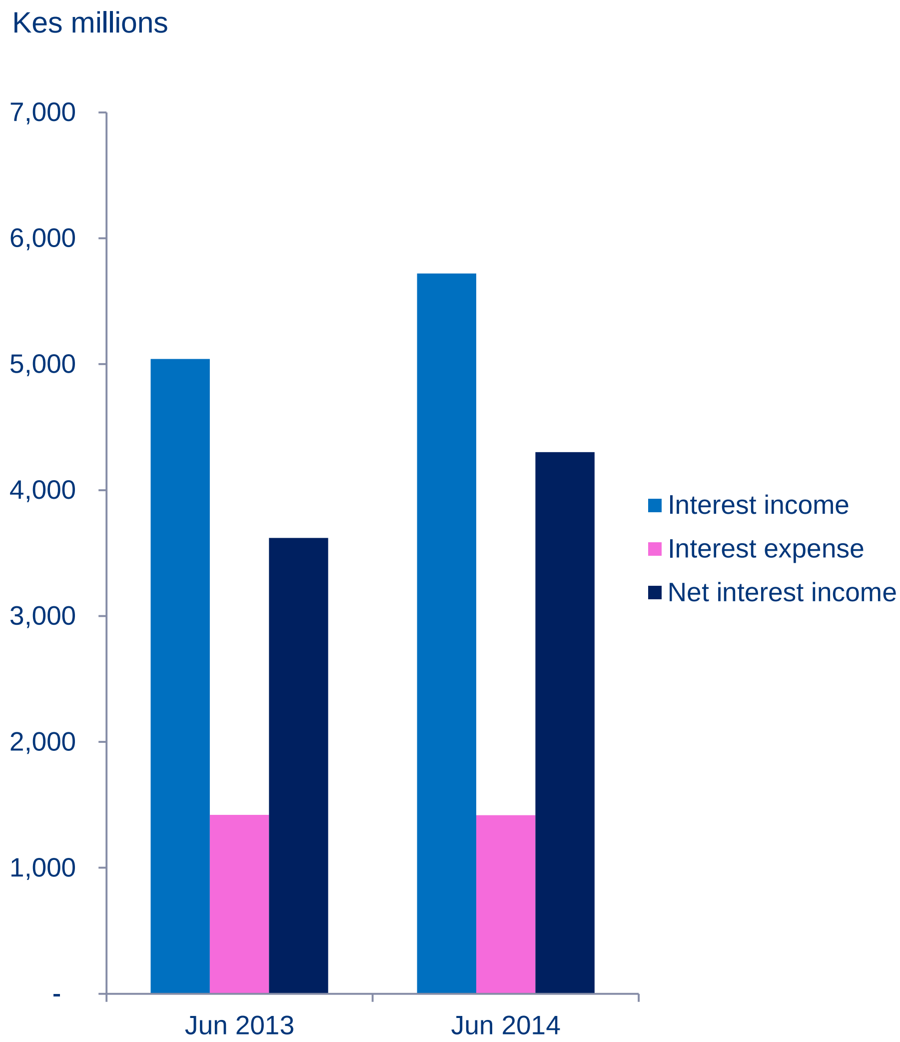
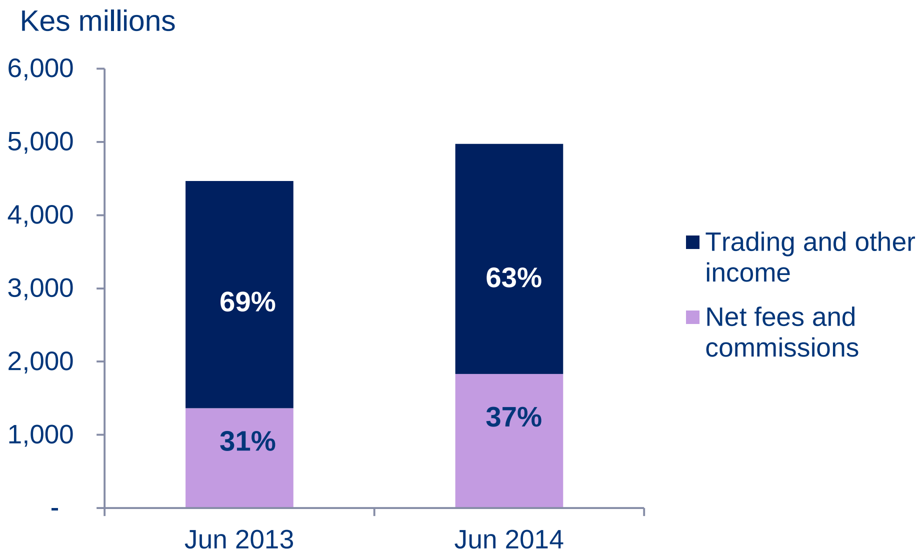
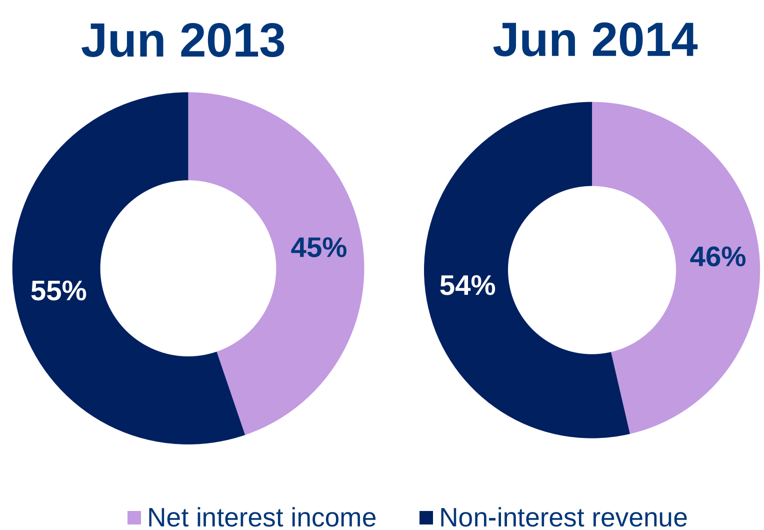
Net interest income



- Net interest income increased by 19% year on year as explained by:
  - Increase in interest income driven by growth of 24% in customer loans
  - Interest expense has remained flat

Non-interest revenue





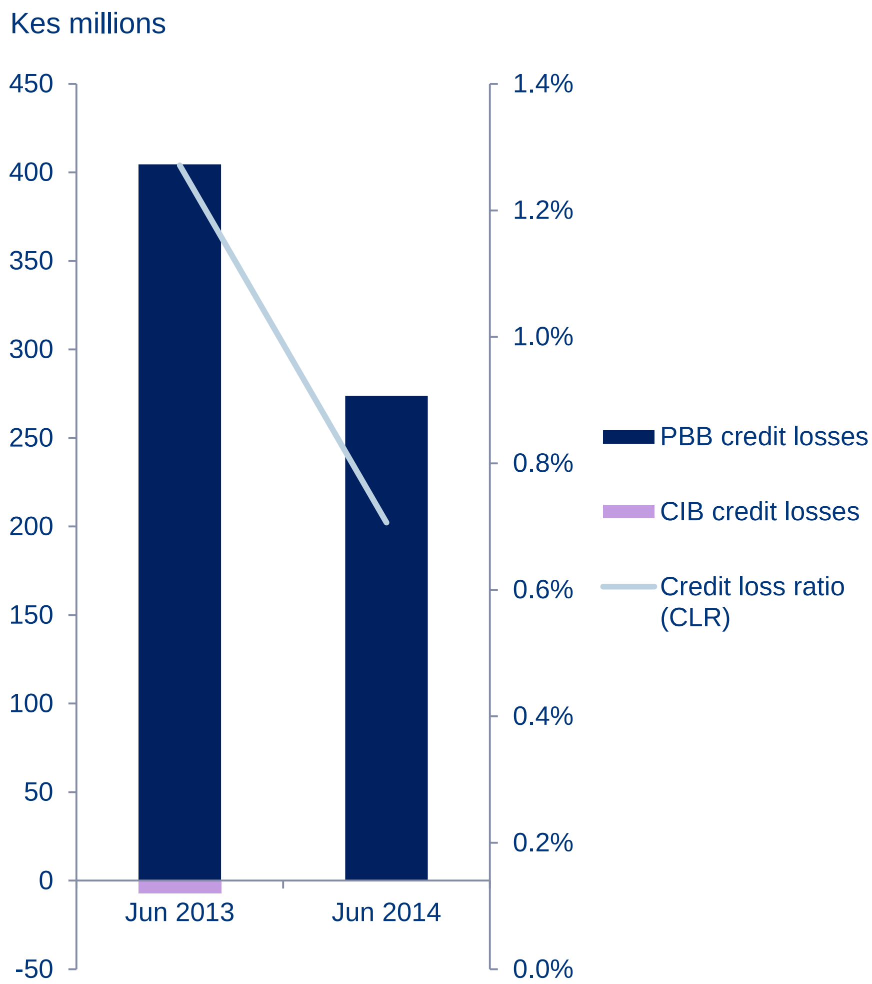
Net fees and commission income

Net fees and commission income increased by 34% mainly attributable to revenues earned from trade finance in South Sudan and transactional fees in Kenya driven by a growing customer base

Trading and other revenue

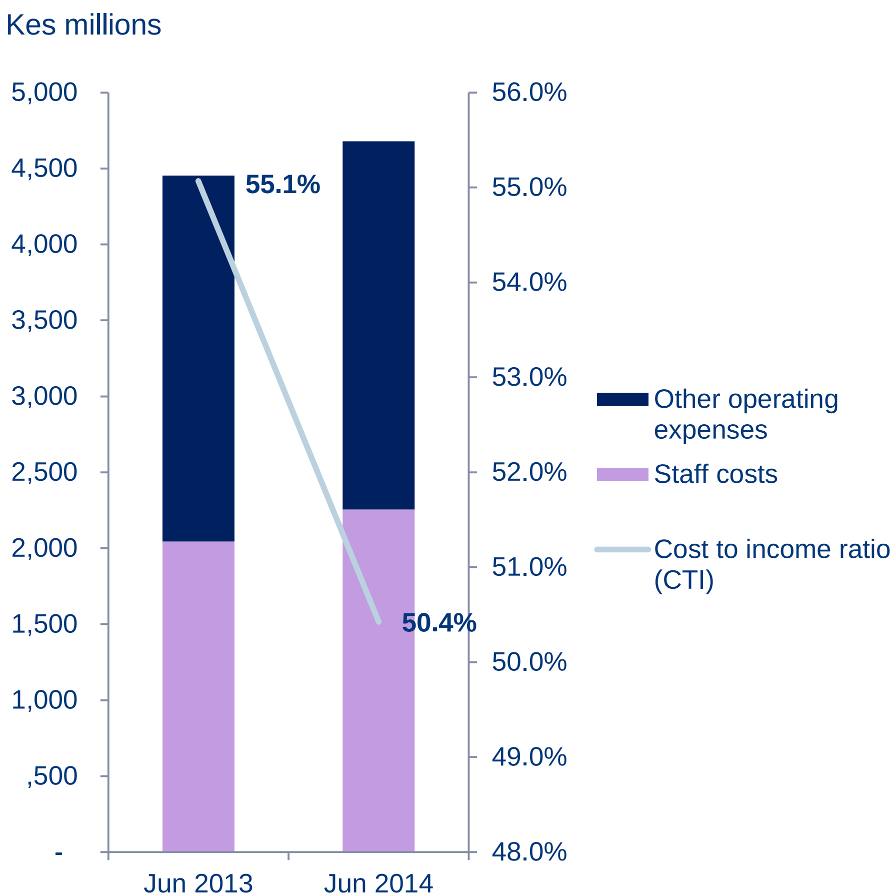
Income from trading increased marginally by 1%

Credit impairment charges



- Impairments have decreased year on year mainly because of the improvement of the quality of retail lending book
- Quality of the corporate lending book continues to be good with no credit impairment charges booked in current year

Operating expenses



- Total operating expenses have increased year on year by 5%
- Employee compensation and related costs increased by 10% mainly due to increase in headcount within the South Sudan branch towards the end of 2013
- Other operating costs have largely remained flat
- The cost to income ratio reduced to 50.4% from 55.1% in June 2013 reflecting a cost management discipline and productivity gains within the Group

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Summarised group balance sheet

	Jun-14 Kes millions	Jun-13 Kes millions	Change %
Assets			
Financial investments	39,080	29,535	32%
Loans and advances to banks	19,296	16,046	20%
Loans and advances to customers	78,190	63,006	24%
Other assets	16,892	30,115	(44%)
Property and equipment	2,301	2,197	5%
Intangible assets including goodwill	9,971	10,231	(3%)
Total assets	**165,730**	**151,130**	**10%**
Liabilities			
Deposits from banks	19,850	23,397	(15%)
Deposits from customers	94,787	83,074	14%
Borrowings	4,994	5,839	(14%)
Other liabilities	11,013	8,941	24%
Equity	35,086	29,879	17%
Liabilities and equity	**165,730**	**151,130**	**10%**
Contingents	**23,403**	**20,290**	**15%**
Letters of credit	11,349	14,757	(23%)
Guarantees	12,054	5,533	>100%

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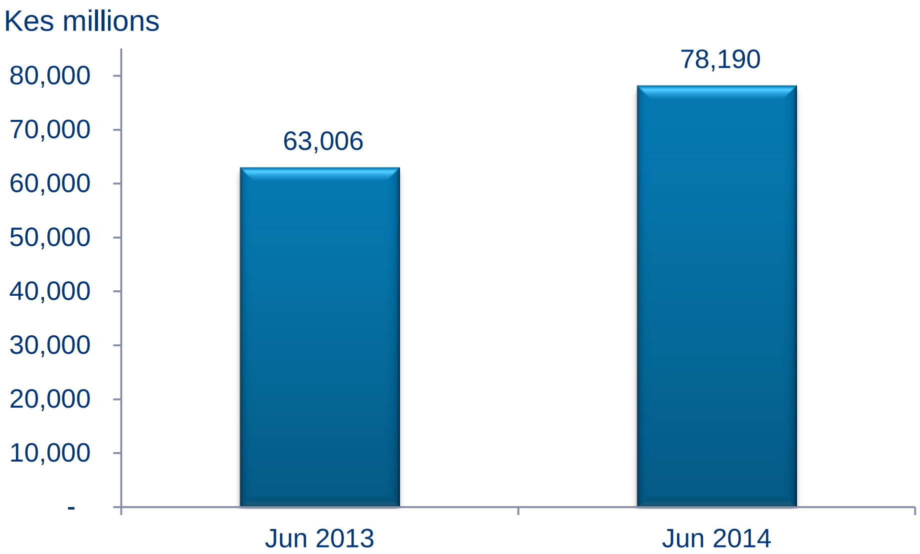
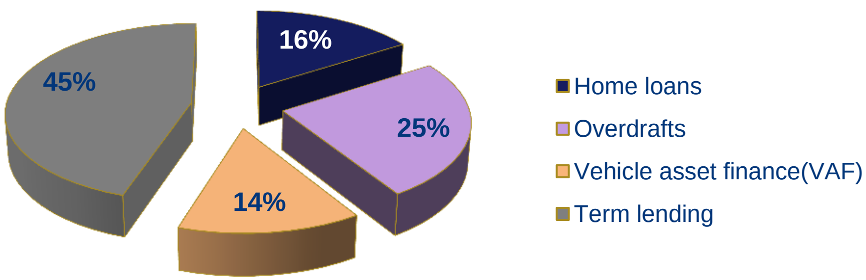
Customer loans and advances

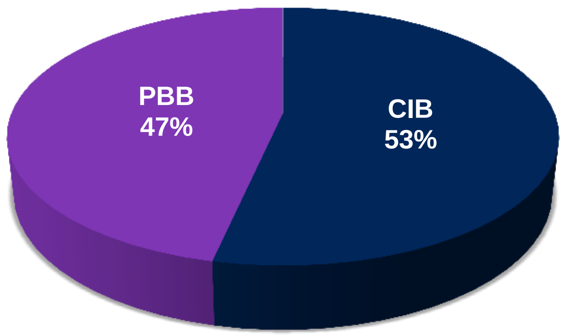


- Customer loans and advances have grown by 24% mainly on term lending
- PBB contribution to customer loans and advances increased from 43% in June 2013 to 47% in June 2014

June 2014 loans per product



June 2014 loans per segment



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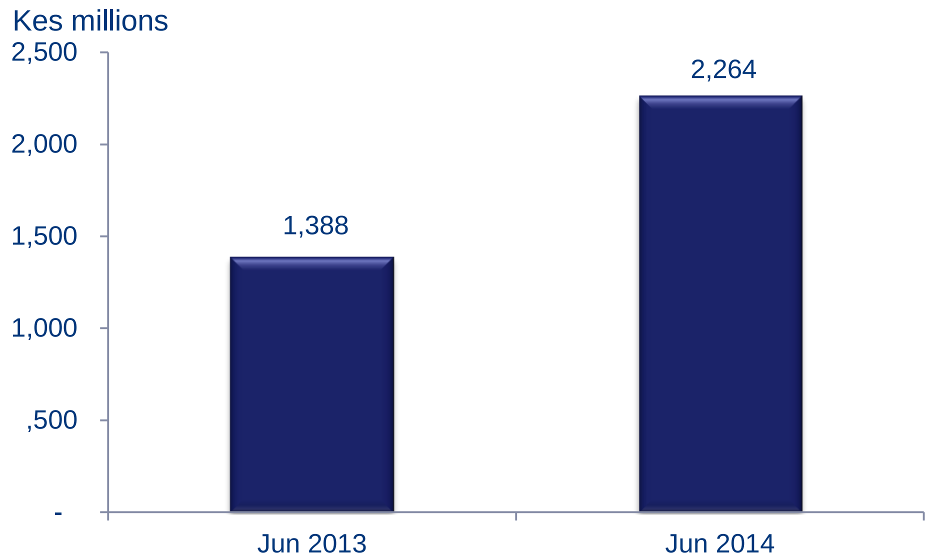
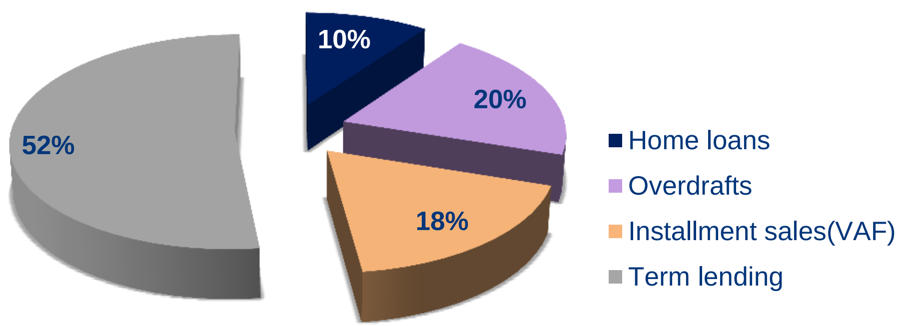
Customer loans and advances- Non-performing loans (NPLs)

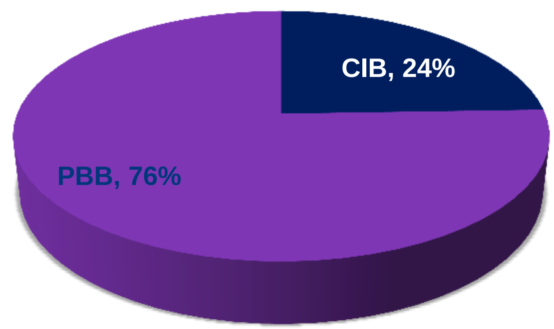


- NPLs have increased by Kes 876m mainly within Corporate and Investment Banking. These exposures are fully secured and the discounted value of securities held explains the lower credit impairment charge

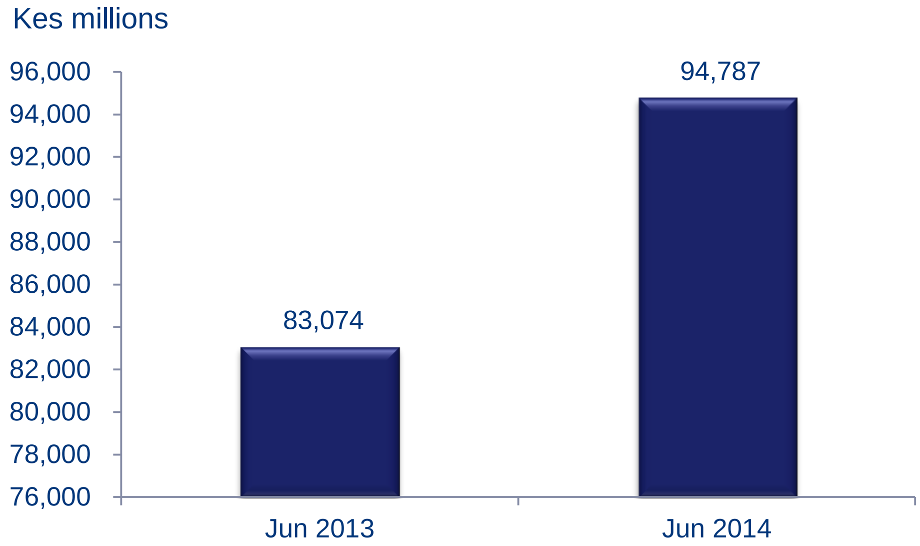
June 2014 NPLs by product



June 2014 NPLs by business unit

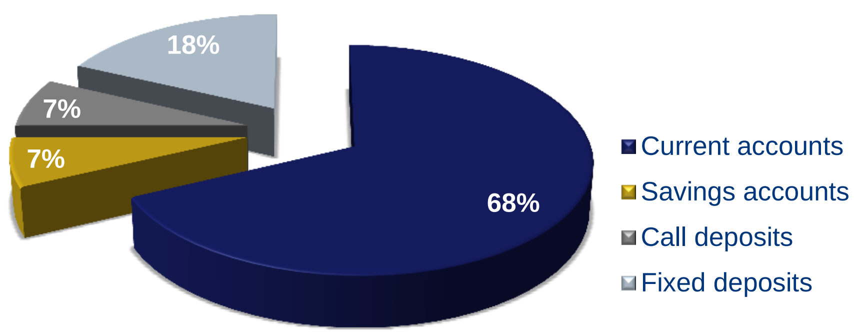


Customer deposits

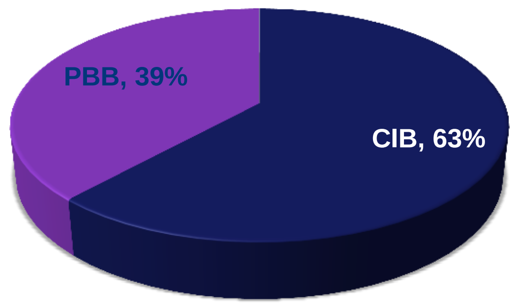


- Customer deposits grew by 14% year on year with the highest growth being on current accounts in line with our strategy

June 2014 customer deposits per product



June 2014 customer deposits by business unit



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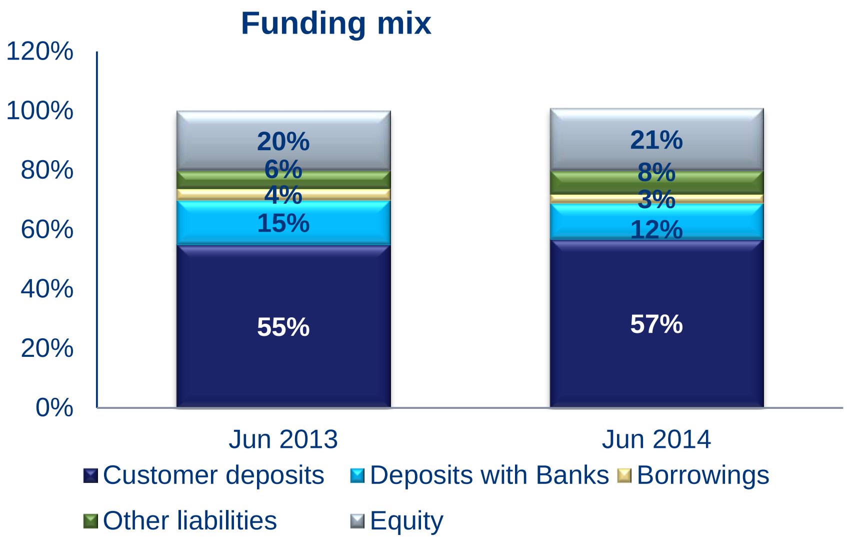
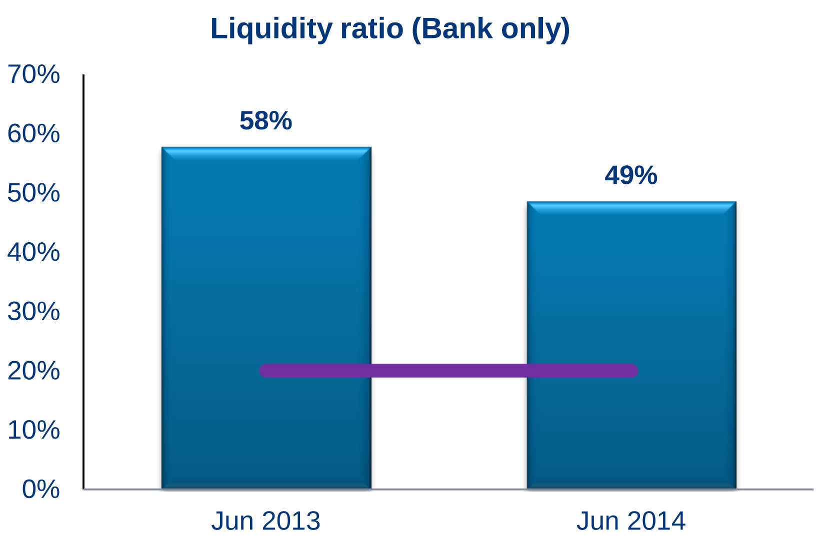
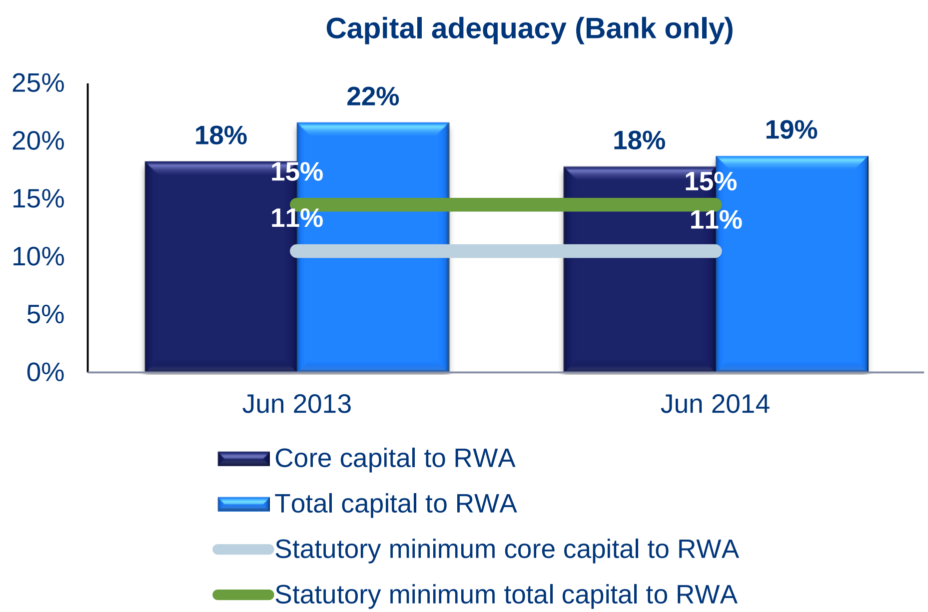
Funding, liquidity and capital



- Total assets funded mainly from customer deposits
- The Bank remains compliant with the regulatory liquidity and capital ratios





RWA- Risk weighted assets

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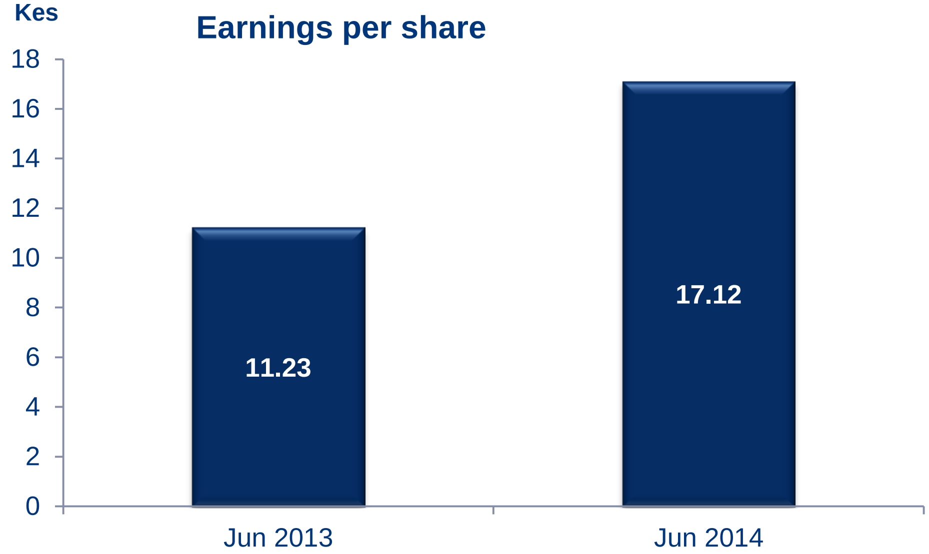
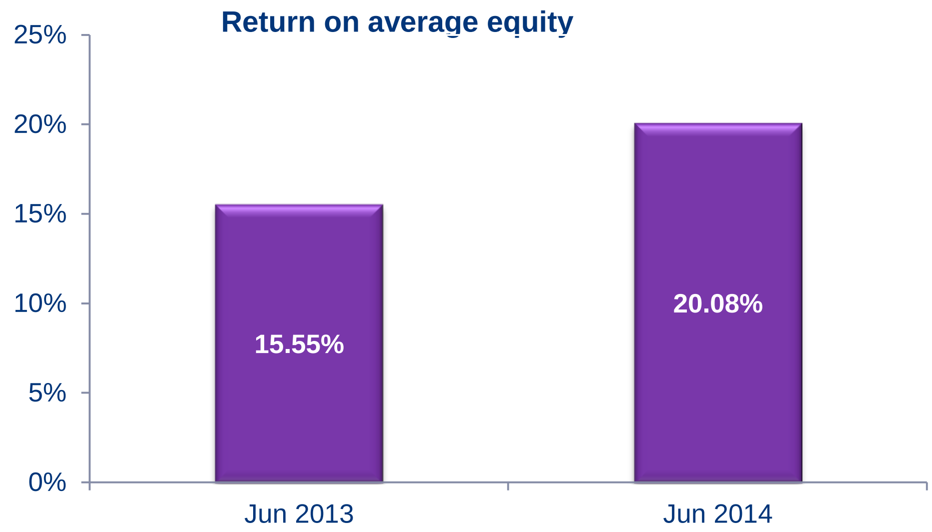
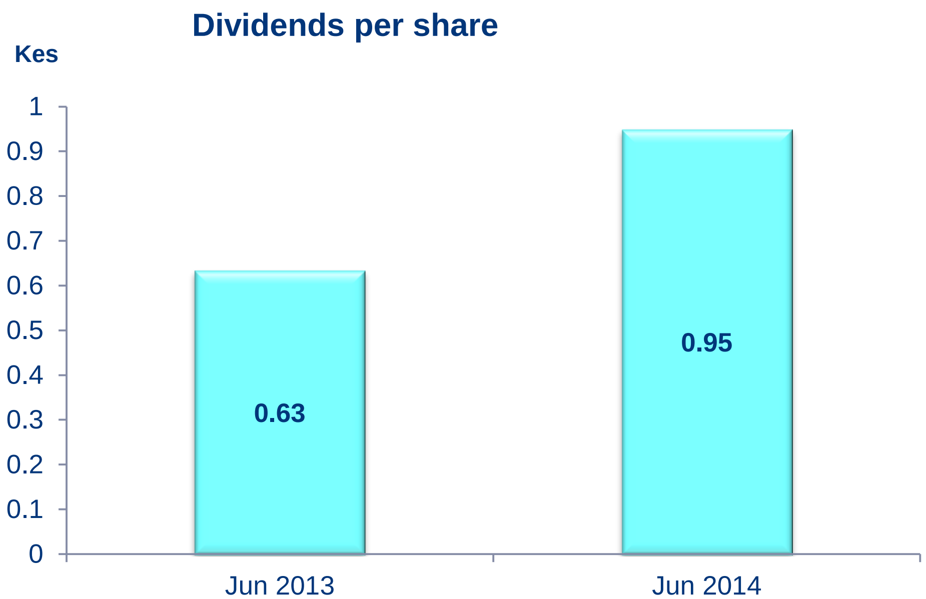
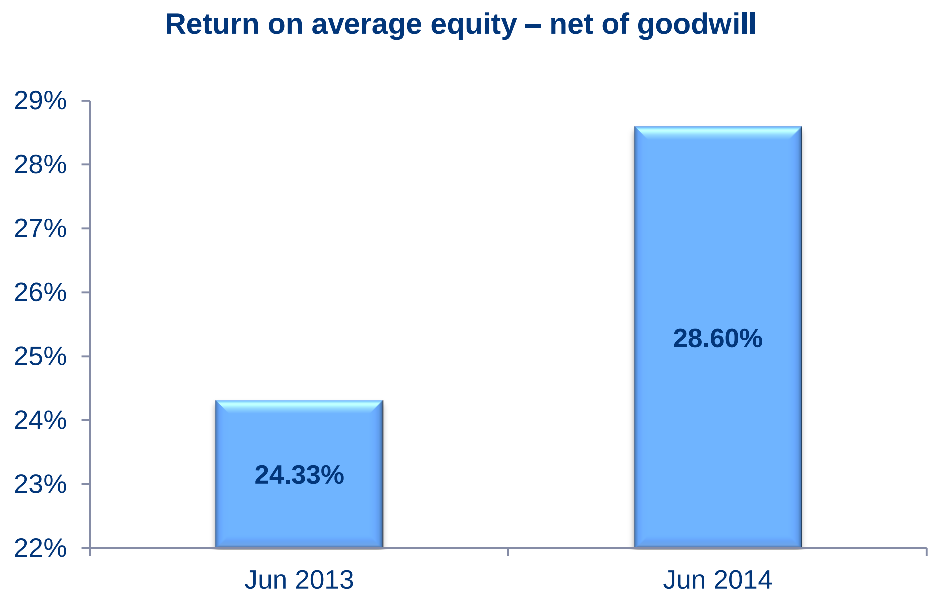
Group shareholder value









Corporate and Investment Banking (CIB)

Mike Blades

Director, Corporate and Investment Banking

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CIB – Summary performance

	Jun-14 Kes millions	Jun-13 Kes millions	Change %
Net interest income	2,455	2,087	18
Non-interest revenue	3,744	3,984	(6)
Total income	6,199	6,071	2
Credit loss ratio	0.0%	0.0%	
Customer loans and advances	41,782	35,614	17
Customer deposits	57,514	52,307	10
Contingents	20,759	18,900	10
Letters of credit	9,200	14,218	(35)
Guarantees	11,559	4,682	>100

2014 highlights

- Focus on Transactional Products and Services has resulted in:-
  - Customer loans and advances increase by 17% mainly on short-term loans
  - Customer deposits growth by 10% mainly on client transactional accounts
- Revenues have grown by 2%:
  - Net interest income growth is driven by the customer balance sheet growth
  - Fees and commissions revenue is lower due to an internal reclassification of customers from CIB to PBB in the current year
  - Stability in the Kenya shilling has meant slower growth in trading revenues
- Continue to strategically reposition the business to focus on customer revenues which is consistent with CIB globally

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CIB 2014 strategic priorities

- Improve the customer experience
  - Credit turnaround times
  - Service levels
- Balance sheet; growth to be centered around Transactional Products and Services
- Leverage on CIB Global businesses with a focus on Oil and Gas and Power and Infrastructure
- Grow linkages with our other CIB operations on the continent

Personal and Business Banking (PBB)

Adam Jones

Head, Personal and Business Banking

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PBB – Summary performance

	Jun-14 Kes millions	Jun-13 Kes millions	Change %
Net interest income	1,847	1,533	20
Non-interest revenue	1,231	483	>100
Total income	**3,078**	**2,016**	**53**
Credit loss ratio	1.5%	2.9%	
Customer loans and advances	36,408	27,392	33
Customer deposits	37,273	30,766	21
Contingents	**2,644**	**1,390**	**90**
Letters of credit	2,149	539	>100
Guarantees	495	851	(42)

2014 highlights

- Net interest income increased by 20% impacted by;
  - Customer loans and advances growth of 33%
  - Customer deposits growth of 21% mainly on current accounts
- Growth in non-interest revenue mainly due to an internal reclassification of customers from CIB to PBB in the current year
- Credit loss ratio at 1.5% compared to prior year of 2.9% driven by improvement in the quality of the asset book

PBB 2014 strategic priorities

- Transactional and liabilities account growth focus
- Key segments include Business Banking, Executive and Private Banking plus Private Clients
- Leverage the CIB customer relationships
- Investment in digital channels including Internet Banking
- Contain cost growth
- Process optimisation and automation with specific focus on Turn Around Time

SBG Securities (SBGS)

Nkoregamba Mwebesa

Chief Executive, SBG Securities

SBGS – Summary performance

	Jun 2014 Kes millions	Jun 2013 Kes millions	Change %
Brokerage commission	290	180	61
Other revenue	53	48	10
Total revenue	**343**	**227**	**51**
Total expenses	(139)	(122)	(14)
Profit before tax	**204**	**105**	**94**
Tax	(65)	(29)	>(100)
Profit after tax	**139**	**76**	**83**

2014 highlights

- SBG Securities profit after tax increased by 83%
- Net brokerage income at Kes 290m (Kes 180m – June 2013) was 61% above June 2013 performance
- Market share on equity trading on the NSE increased to 15.9% (11.5% - June 2013)
- Market turnover as at 30 June 2014 was also higher by 37%

SBGS 2014 strategic priorities

- Focus on deepening client interactions to help maintain market share momentum.
  - Enhanced sales function with dedicated resources at both Institutional and Retail Segments
- Continue to improve the quality of our research product
  - Widen distribution of Equity Research offering to Institutional Investors
  - Tailor Macro-economic and Equity Research to meet the needs of High-Net Worth individuals
- Innovation
  - Re-launch and enhancement of iTrader to potentially include international markets
  - Improvement on real time aspect of funding and payment options for iTrader
- Strong pipeline of Capital Market placement deals in 2014

Strategy and prospects

Greg Brackenridge

Chief Executive, CfC Stanbic Bank

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Strategic priorities

- After the merger of CfC Bank and Stanbic Bank Kenya we embarked on a journey to build a universal bank. Stanbic Bank Kenya was primarily an investment bank focusing on the corporate and high end retail segments of the market with some Global Markets capability whilst CfC Bank was mainly an asset finance bank
- Maintain above market average Compound Annual Growth Rate in profit after tax
- Improve Return on equity
- Continue with productivity improvement initiatives aimed at further improving our cost to income ratio

Strategic priorities – CfC Stanbic Bank

Key metrics	Medium term target	June 2014 YTD actual	June 2013 YTD actual
Return on equity (ROE)	25.00%	27.95%	22.24%
Return on assets (ROA)	2.50%	4.00%	3.34%
Non interest revenue (NIR) to total income	50.00%	51.98%	50.08%
PBB share of customer balance sheet	50.00%	46.56%	43.48%
Cost to income ratio (CTI)	55.00%	50.36%	53.96%
LCY/FCY balance sheet mix	70:30	60:40	78:22
Funding mix	Increase share of core accounts (current and savings accounts)	75.00%	68.99%

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